

ASML

ASML HOLDING N.V.

VALUATION REPORT

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Executive Summary

This report values ASML Holding N.V., a leading semiconductor equipment company and the dominant supplier of EUV lithography systems. The valuation relies exclusively on a Free Cash Flow to the Firm (FCFF) Discounted Cash Flow (DCF) model. Given that ASML operates without direct comparable peers in the EUV lithography ecosystem, market multiples are excluded to avoid distortion from inappropriate peer benchmarking.

The forecast uses a driver-based revenue model, separating ASML's revenue into system sales and service and field option sales. The model assumes continued growth from EUV and High-NA EUV adoption, AI-related semiconductor demand, pricing power, and service revenue expansion from ASML's installed base.

The FCFF DCF produces an implied value of €724.29 per share, based on a WACC of 8.55% and terminal growth rate of 3.05%. Compared with the current market price of €1,249.80, the DCF-derived fair value implies approximately 42.05% downside to fair value. Equivalently, the market price trades at a 72.56% premium to the DCF-derived fair value.

Overall, the analysis suggests that ASML remains a high quality company with a very strong competitive position. Its machines are critical for producing the world's most advanced chips, and the company has limited direct competition in this area. ASML is also well positioned to benefit from AI-related semiconductor demand and long-term service revenue from its installed base. However, the current share price appears to already reflect a significant premium for these strengths. Therefore, under the model's assumptions, ASML appears overvalued, with limited margin of safety at the current valuation level.

Subject of Valuation

ASML Holding N.V. (Euronext Amsterdam / NASDAQ: ASML) is a Dutch multinational corporation headquartered in Veldhoven, the Netherlands. The company is the world's sole supplier of extreme ultraviolet (EUV) lithography systems, equipment that is indispensable for the production of the most advanced semiconductor chips. ASML also produces deep ultraviolet (DUV) lithography systems across a range of wavelengths (ArF immersion, ArF dry, KrF, i-line), as well as metrology and inspection equipment used in semiconductor manufacturing quality control.

The company occupies a structurally unique position in the global semiconductor supply chain. Its monopoly in EUV technology, rooted in decades of proprietary R&D and an irreplicable ecosystem of over 800 suppliers, creates formidable barriers to entry. Every leading-edge logic chip, whether designed by TSMC, Samsung, Intel, or others requires ASML EUV scanners to be manufactured.

ASML's product portfolio subject to this valuation encompasses:

- EUV systems (NXE series): Flagship EUV scanners used for critical patterning at sub-10nm nodes
- High-NA EUV systems (EXE series): Next-generation platform enabling 2nm and below; production ramp underway from 2024
- DUV systems: Mature but still widely used in logic and memory fabs (ArF, KrF, i-line wavelengths)
- Metrology & Inspection: HMI and YieldStar systems providing in-line process control
- Service & Field Options: Multi-year service contracts generating high-margin recurring revenue

Date of the Valuation

The valuation is performed as of 19th May 2026. All financial projections, market data, macro assumptions, and discount rates are calibrated to information available as of this date. Historical financial data is drawn from ASML's audited IFRS financial statements for fiscal years 2022 through 2025.

Standard of Value: Market Value (Fair Market Value)

This report adopts Market Value (Fair Market Value) as the applicable valuation standard. ASML is a publicly listed company with actively traded shares on two major exchanges (Euronext Amsterdam and NASDAQ). Market Value is the natural benchmark for listed equity.

Equity Story

ASML occupies a structurally unique position in the global semiconductor supply chain. The company's role can be summarized in one sentence - ASML is a near-monopoly supplier of the

single most critical input to advanced chip manufacturing, operating in a market whose long-term demand trajectory is anchored by the structural shift to AI-driven computing.

What Drives the Business

ASML's revenue and earnings are driven by four reinforcing structural forces. Together, they explain why total net sales grew from €21.2 billion in 2022 to €32.7 billion in 2025, representing a compound annual growth rate of approximately 15.5%, despite a slowdown in the broader semiconductor equipment market.

Every advance to a smaller technology node, from 7nm to 5nm to 3nm and now to 2nm, requires significantly more lithography exposures per wafer, and an increasing share of those exposures must be done with EUV rather than DUV. ASML therefore monetizes the rising complexity of each wafer. This is the fundamental physical driver of long-term demand, and it is independent of short-term cyclicalities in end markets.

The investment cycle of leading-edge foundries and integrated device manufacturers, namely TSMC, Samsung, and Intel, has accelerated materially since 2023 due to demand for AI accelerators, high-bandwidth memory, and advanced logic chips designed by NVIDIA, AMD, and hyperscale customers. ASML is the bottleneck supplier in this cycle, as every leading-edge wafer fabrication facility must install EUV scanners before any other process equipment can be deployed. This is the demand-side engine behind our forecast that revenue will grow from €32.7 billion in 2025 to approximately €65 billion in 2030 and €89 billion in 2035.

Each system shipped by ASML generates a service and field-option revenue tail that typically extends for two decades. Service and field-option sales grew from €5.7 billion in 2022 to €8.2 billion in 2025, a CAGR of approximately 12.6%, and now represent around 25% of total revenue. Because the cumulative installed base grew from 3,800 units at the end of 2022 to 5,518 at the end of 2025, and is forecast to reach over 13,000 units by 2035, service revenue compounds with much lower cyclicalities than system sales. This is the recurring, high-margin leg of the business that smooths reported earnings through the equipment cycle.

ASML's average price per system rose from approximately €27.5 million in 2022 to €45.7 million in 2025, an increase of approximately 66% in just three years. This was driven not by inflation, but by mix: the share of EUV (NXE) and High-NA EUV (EXE) systems in shipments has risen sharply, and these systems carry both higher prices and higher gross margins than

mature DUV tools. Because mix continues to shift toward EUV throughout our forecast period, average selling prices and gross margins are expected to continue expanding, with no equivalent counter-pressure on the cost side.

Why ASML Creates Value

ASML creates economic value by earning returns on capital that are several times higher than its cost of capital, and by doing so on a durable basis. Our model estimates a return on invested capital (ROIC) of approximately 26.6%, compared with a weighted average cost of capital (WACC) of 8.55%. The spread of roughly 18 percentage points is the financial signature of a deep and durable economic moat. This moat rests on four mutually reinforcing pillars.

ASML is the only company in the world capable of producing EUV lithography systems at industrial scale. The High-NA EUV platform (EXE series), which began shipping in 2024 at a price exceeding €350 million per system, has no credible competitor under development anywhere in the world. Chinese domestic alternatives, such as SMEE's lithography programme, remain at least five to ten years behind ASML even on conventional DUV nodes, and significantly further behind on EUV.

ASML's EUV machines are the product of an integrated ecosystem of more than 800 suppliers, with critical components from Carl Zeiss SMT (the precision optics required to focus 13.5nm EUV light), TRUMPF (the high-power CO₂ lasers driving the plasma light source), and ASML's own Cymer subsidiary (the EUV light source itself). Recreating this supply chain would require not only tens of billions of euros of investment, but several decades of accumulated process knowledge that cannot be reverse engineered. This is the deepest layer of ASML's competitive moat and is the principal reason why the monopoly is structurally durable.

Every advanced fab operated by TSMC, Samsung, or Intel is co-engineered with ASML over a three-to-five-year design cycle. Tool installation, process integration, and yield optimization are deeply collaborative, and the switching cost for a customer at the leading edge is effectively infinite as no alternative supplier exists. This dependency is further reinforced by ASML's service contracts, which embed ASML engineers on-site at customer fabs.

The economic moat translates into a financial profile that is exceptional even within the high-quality global equipment universe. Gross margin expanded from 49.7% in 2022 to 51.8% in 2025, and is forecast to continue expanding gradually through the forecast period. EBIT margin

rose from 34.6% in 2022 to 36.9% in 2025, and net profit margin has remained stable above 30%. The order backlog at year-end 2025 stood at €38.8 billion, equivalent to more than one full year of revenue, providing exceptional forward visibility. Crucially, ASML returns the majority of its free cash flow to shareholders. In 2025, the company paid €2.55 billion in dividends and repurchased €5.95 billion of shares, returning €8.5 billion in total. Our model projects cumulative capital returns of approximately €175 billion over the 2026E to 2035E forecast period.

Key Investment Thesis

The investment thesis can be stated as follows:

ASML is a high-quality global technology company with a strong competitive position, supported by its critical role in advanced semiconductor manufacturing, long-term industry growth drivers, and strong cash generation. However, the current share price appears to already reflect a significant premium for these strengths.

The thesis rests on four supporting propositions.

ASML's dominance of EUV and High-NA EUV, combined with sustained growth in wafer-fab equipment spending driven by AI and advanced node migration, supports a forecast revenue CAGR of approximately 10.55% from 2025 to 2035.

EBIT margin is forecast to expand from 36.9% in 2025 to approximately 39.9% by 2035, supported by the continued shift toward higher-margin EUV systems, gradual gains in gross margin, and operating leverage on Selling, General, and Administrative as revenue scales.

With the installed base forecast to expand from 5,518 units in 2025 to over 13,000 units by 2035, service and field-option revenue compounds independently of the new-system order cycle. This recurring stream materially reduces the earnings volatility historically associated with semiconductor capital equipment companies.

ASML has historically returned the majority of its free cash flow to shareholders through dividends and share buybacks. Our model projects cumulative returns of approximately €175 billion over 2026E to 2035E, providing a meaningful contribution to total shareholder return even before accounting for share price appreciation.

However, the thesis comes with an important qualification. Our valuation suggests that ASML is worth around €724.29 per share, while its market price was €1,250 on 19 May 2026. This means that even under the optimistic base case applied in this report, in which 2030 revenue exceeds management's own high-end guidance, the current share price already prices in substantially all of the thesis. The investment question is therefore not whether ASML is an exceptional business, which it clearly is, but whether the price currently being asked leaves any margin of safety for execution risk.

There are five main risks that could weaken the investment thesis for ASML. They are listed roughly from the most immediate to the less immediate risks.

Risks to the Thesis

Geopolitical and export-control risk.

Restrictions from the US and the Netherlands have already reduced ASML's sales exposure to China. China's share of system sales fell from around 36% in Q4 2025 to 19% in Q1 2026. If export restrictions become even stricter, especially for advanced DUV machines, ASML's potential market could become smaller. In the longer term, China is also investing in its own lithography technology, including companies such as SMEE. This is not a major threat to EUV in the near future, but it could become more relevant in older, less advanced chipmaking segments. This is the most immediate and difficult-to-control risk.

Customer concentration.

Most of ASML's EUV demand comes from only three major customers: TSMC, Samsung, and Intel. If any of these companies reduce their investment plans, ASML could be significantly affected. This could happen because of Intel's difficulties in foundry execution, Samsung's weaker position in HBM, or a slowdown in TSMC's advanced-node investment. Because ASML depends heavily on a small number of customers, problems at just one customer could have a meaningful impact.

Cyclicality and weaker demand.

The semiconductor equipment industry is highly cyclical. The slowdown in DUV demand in 2023–2024 is a recent example. If the current AI-driven investment cycle slows earlier than

expected, ASML's order intake could fall. For example, this could happen if large technology companies do not get strong enough returns from their AI investments in 2027–2028. Since ASML has high operating leverage, even a moderate revenue decline could have a large negative effect on EBIT, free cash flow, and valuation.

High-NA EUV execution risk.

ASML's High-NA EUV platform is an important part of the growth forecast for the second half of the projection period. If customers such as Intel or TSMC take longer to qualify the technology, or if the machines do not meet productivity and yield expectations, some expected revenue could be delayed. This is both a technology risk and a demand risk, especially because these products are expected to contribute strongly to margins.

Valuation risk.

This is the most relevant risk for an investor making a decision today. Our DCF base case produces a value of €724.29 per share, implying approximately 42.05% downside from the current market price. Equivalently, the current market price represents a 72.56% premium to our DCF-derived fair value. For the current share price to be supported by fundamentals, the market must be assuming either a significantly higher sustainable terminal growth rate, a materially lower cost of capital, or an aggressive margin trajectory that overlooks cyclical execution risks. The risk, therefore, is that even an exceptional monopoly business can be priced well beyond the present value of its future cash flows.

Overall, these risks do not change the view that ASML is a strategically strong business. However, they do support the conclusion that the current share price leaves limited room for error. In simple terms, the investment case is positive on the quality of the business, but cautious on the valuation.

Financial Analysis and Forecasting Logic

The Machines & Technologies Offered By ASML:

Model Category in Forecast	Technology Category	Explanation
EXE	High – NA EUV - The High-NA means “high numerical aperture,” which allows sharper imaging and smaller chip features.	ASML’s newest and most advanced EUV platform. EXE systems are expected to support future advanced logic and memory.
NXE	EUV - Extreme ultraviolet lithography ASML’s EUV systems use 13.5 nm EUV light to print very small chip features	ASML’s current mainstream EUV platform. NXE systems use extreme ultraviolet light and are used for advanced logic and DRAM manufacturing.
ArF immersion	DUV - ASML’s DUV portfolio includes immersion and dry systems used across both advanced and mature semiconductor manufacturing	The most advanced DUV system type. It uses immersion technology. Still important for advanced and mature-node production.
ArF dry	DUV - ASML’s DUV portfolio includes immersion and dry systems used across both advanced and mature semiconductor manufacturing	A mature DUV platform without immersion. Used for less demanding lithography layers than ArF immersion.
KrF	DUV - ASML’s DUV portfolio includes immersion and dry systems used across	A more mature DUV platform. Mainly used for

	both advanced and mature semiconductor manufacturing	mature-node and less advanced chip layers.
I-line	Mature lithography - Used for legacy, specialty, and less advanced applications	ASML's oldest lithography category in this model. Used for legacy, specialty, and less advanced applications.
Metrology & Inspection	Process control - Helps chipmakers measure overlay, monitor process accuracy, and detect defects	These systems measure patterns, detect defects, and help customers improve yield and process accuracy.

Revenue Forecasting Approach:

The revenue forecast is built using a driver-based model (meaning the underlying business factors) rather than applying a single growth rate. ASML's revenue is separated into two main components: net system sales and net service and field option sales. System sales are forecast by estimating annual unit sales and average selling prices for each product category, while service and field option sales are forecast using the cumulative installed base and revenue per installed unit.

The model uses an optimistic base case revenue forecast. ASML's management has indicated a 2030 revenue scenario of up to approximately €60 billion, while this model forecasts revenue of approximately €64-65 billion in 2030. The higher forecast reflects the assumption that ASML slightly outperforms management's high-end scenario due to stronger-than-expected AI-related semiconductor demand, continued EUV and High-NA EUV adoption, service revenue growth from the expanding installed base, and ASML's near monopoly position.

System Sales Unit Growth:

The strongest unit growth is assumed for EXE / High-NA EUV systems. This reflects the fact that High-NA EUV type systems remain in the early stages of commercial adoption. Because shipments start from a very low base, high percentage growth in the early forecast years can be justified even if the absolute number of additional systems remains limited. The forecast

assumes that leading-edge logic and memory customers gradually adopt High-NA EUV systems as chip manufacturing requires more complex lithography. Growth then slows after 2030 as the product moves from early ramp-up toward a more mature adoption phase.

NXE / EUV systems are also forecast to grow, but at a more moderate rate. EUV remains essential for advanced logic and DRAM manufacturing, so continued demand is expected as customers invest in leading-edge capacity. However, growth is assumed to slow over time as the installed base becomes larger and some future demand shifts toward High-NA EUV technology. This reflects a more mature stage of the EUV product cycle compared with EXE systems.

For ArF immersion, the model assumes low single digit growth in the near term, followed by slight declines later in the forecast period. ArF immersion remains important for both advanced and mature chip production, but it is no longer the main long-term growth driver. Demand should remain supported by DUV layers, specialty applications, and mature chip making, but advanced chip making investment is expected to become increasingly focused on EUV and High-NA EUV technologies.

ArF dry systems are modeled with a near-term recovery from the lower 2025 base, followed by broadly flat sales volumes. This is because ArF dry is a mature DUV product category. The forecast assumes that demand remains stable for legacy and specialty applications but does not represent a major source of long-term growth.

For KrF systems, the forecast assumes some near-term recovery and then stable unit volumes. KrF systems are used primarily for less advanced layers and mature chip making applications. Demand is supported by automotive, industrial, and specialty semiconductor production, but the category is not expected to be a major structural growth driver for ASML.

I-line units are forecast to decline gradually. This is ASML's most mature lithography category, so while some demand should remain for legacy and specialty applications, long-term growth is expected to be negative as customer investment shifts toward more advanced systems.

Metrology & Inspection is forecast to grow steadily throughout the forecast period. This is supported by increasing process complexity in semiconductor manufacturing. As EUV and High-NA EUV technology adoption increases, customers require more process control, overlay

accuracy, and yield management. Therefore, growth in metrology and inspection is linked to the broader increase in lithography complexity rather than only to wafer capacity growth.

System Sales Price Growth:

Average selling price growth is forecast separately by product category. The highest price growth is assumed for EXE / High-NA EUV, reflecting the technological complexity, limited availability, demand and strategic importance of these tools. Early price growth is higher because the platform is still ramping and may benefit from advanced configurations, customer specific requirements, and ASML's strong pricing power due to its monopoly-like position. Price growth is then assumed to moderate as the product matures.

For NXE / EUV systems, the model assumes continued price growth, but at a lower level than High-NA EUV. EUV tools remain critical for advanced semiconductor manufacturing, and pricing is supported by system upgrades, productivity improvements, and ASML's strong competitive position which can be monopoly-like. However, because NXE is more mature than EXE, price growth is expected to normalize over time.

For the mature DUV categories: ArF immersion, ArF dry, KrF, and I-line: the model assumes only modest annual price growth. These products are less strategically scarce than EUV systems, so pricing power is lower. The 1% annual growth assumption mainly reflects inflation, minor configuration improvements, service or software additions, and product mix effects rather than major repricing.

For Metrology & Inspection, price growth is assumed to remain positive but moderate. These systems become more important as chip manufacturing becomes more complex, but the category does not have the same monopoly-like characteristics as EUV lithography. Therefore, price growth is modeled below EXE and NXE levels.

Service and Field Option Revenue:

Service and field option revenue is forecast using ASML's cumulative installed base and revenue per installed unit. This is appropriate because ASML's service revenue depends heavily on the number of systems operating at customer sites and the complexity of those systems. ASML's 2025 annual report states that service and field option sales increased due to the growing installed base, higher tool utilization by certain customers, and more NXE field upgrades.

The model assumes that revenue per installed unit grows faster in the early forecast years and gradually slows to around 2% by the end of the forecast period. This reflects the increasing share of EUV and High-NA EUV tools in the installed base, which should raise service intensity, while also avoiding an overly aggressive long-term assumption. Over time, service revenue growth is expected to normalize toward a more mature growth rate as the installed base becomes larger and the service model stabilizes.

Overall, the revenue forecast assumes that ASML continues to benefit from advanced semiconductor demand, AI-related investment, EUV and High-NA EUV adoption, and growth in installed base service revenue. However, growth rates are gradually reduced over the forecast period to reflect product maturity and the increasing size of the revenue base.

Cost Forecasting Approach:

Costs in the model are generally forecasted as a percentage of revenue. This approach links profitability directly to the revenue forecast and reflects the assumption that ASML benefits from operating leverage as revenue scales.

The largest cost item is cost of system sales, which is forecast as a percentage of revenue. The model assumes that cost of system sales gradually decreases by 0.2 percentage points per year during the forecast period. This reflects expected efficiency improvements, pricing power, monopoly-like benefits, and operating leverage as ASML sells more advanced EUV and High-NA EUV systems. As a result, gross margin is assumed to improve gradually over time rather than increase sharply in any single year.

Cost of service and field option sales is forecast at a stable percentage of revenue. This reflects the recurring and relatively predictable nature of ASML's service business. While service revenue is expected to grow with the installed base, the model assumes that the cost structure of this segment remains broadly stable over the forecast period.

SG&A expenses are forecast to decline gradually as a percentage of revenue, decreasing by 0.1 percentage points per year. This assumes that ASML gains operating leverage as revenue grows, meaning that administrative and selling costs do not need to increase at the same pace as sales. This is reasonable for a large, established company with a scalable commercial and administrative structure.

R&D expenses are held broadly stable as a percentage of revenue. This reflects the importance of continuous innovation to ASML's competitive position. Because ASML operates in a highly complex technology market, especially with EUV and High-NA EUV systems, the company is expected to continue investing heavily in research and development. The model therefore does not assume major R&D margin compression, as underinvestment in R&D would be unrealistic for ASML's long-term strategy.

Depreciation is forecast using the latest historical depreciation-to-revenue ratio and held constant through the forecast period. This creates a simplified but consistent assumption, linking depreciation to the scale of the business while avoiding unnecessary complexity in the forecast. Since the model separately forecasts capex, depreciation is treated as a stable non-cash expense based on recent historical levels.

Overall, the cost forecast assumes moderate margin expansion over time. The model does not rely on sudden cost reductions, but instead reflects gradual improvements in gross margin and SG&A efficiency while maintaining strong R&D investment. This results in EBIT margin expanding from approximately 36.9% in 2025 to approximately 39.9% by 2035, driven mainly by improved cost of sales efficiency and operating leverage.

DCF Valuation

DCF Methodology:

The valuation uses a Free Cash Flow to the Firm (FCFF) approach. This method values ASML based on the cash flows generated by the company's operations before financing decisions, meaning the cash flows available to both debt and equity holders.

FCFF is appropriate for ASML because the company has a relatively conservative capital structure and the valuation should primarily reflect its operating performance, reinvestment needs, and long-term cash generation rather than dividend or buyback policy.

The model forecasts FCFF from 2026E to 2035E and then calculates a terminal value at the end of the explicit forecast period. The model also includes a secondary FCFE reconciliation as a check, but the main valuation output is based on FCFF discounted at WACC.

The FCFF forecast is based on the revenue, margin, capex, depreciation, and working capital assumptions developed in the operating model.

Revenue increases from €40.7 billion in 2026E to €89.1 billion in 2035E, driven by growth in EUV and High-NA EUV system sales, service and field option revenue, and continued demand for ASML's lithography and process-control systems

EBIT increases from €15.1 billion in 2026E to €35.5 billion in 2035E. This reflects both revenue growth and gradual operating margin expansion. After applying the Dutch corporate tax rate of 25.8%, NOPAT increases from €11.2 billion in 2026E to €26.4 billion in 2035E.

Capital expenditure and working capital investment are then deducted to reflect the reinvestment required to support future growth. Under the base case, FCFF increases from €4.8 billion in 2026E to €21.9 billion in 2035E.

The lower FCFF in 2026E is mainly caused by higher working capital investment, while later years benefit from stronger operating profit growth and a more normalized reinvestment profile.

WACC Assumption for DCF:

The forecast FCFF is discounted using a weighted average cost of capital (WACC) of 8.55%. Since FCFF represents cash flows available to both debt and equity holders, WACC is the appropriate discount rate.

The model uses a risk-free rate of 3.315% (Dutch 10-year bond), a market risk premium of 4.23% (from Damodaran), and ASML's beta. A Blume-adjusted beta is also considered to normalize the beta toward the market average over time. Based on these inputs, the model estimates WACC at 8.55% considering the Blume-adjusted beta.

ASML's capital structure is heavily equity weighted, with equity representing more than 99% of total capital in the WACC calculation. As a result, the WACC is driven mainly by the cost of equity rather than the cost of debt.

Terminal Value Assumption for DCF:

The terminal value is calculated using the Gordon Growth Method, which assumes that FCFF grows at a stable rate after 2035.

The terminal growth rate is set at 3.05%. This assumption is supported by a reinvestment based approach, where long-term growth is linked to ASML's reinvestment rate and return on new invested capital.

The historical RONIC was significantly higher, but this was normalized to 14.0% to avoid assuming that ASML can maintain extremely high incremental returns indefinitely. This is a more conservative long-term assumption, while still recognizing ASML's strong competitive position and high quality business model.

Based on 2035E FCFF of €21.9 billion, the model estimates a terminal value of approximately €410.5 billion. After discounting the terminal value and explicit forecast cash flows back to present value, the model produces an enterprise value of approximately €270.6 billion.

Equity Value Result:

After calculating enterprise value, the model adds excess cash and subtracts interest-bearing debt to arrive at equity value.

Using 385.42 million shares outstanding, the DCF produces an estimated value per share of: €724.29 per share.

Sensitivity Analysis:

Because DCF valuations are highly sensitive to discount rate and terminal value assumptions, the model includes a sensitivity analysis for changes in WACC and terminal growth rate.

The base case DCF value is €724.29 per share. Under more conservative assumptions, where WACC increases or terminal growth decreases, the valuation falls to approximately €555-€668.4 per share. Under more optimistic assumptions, where WACC decreases or terminal growth increases, the valuation can rise above €1,000 per share.

This highlights that a significant portion of ASML's valuation depends on long-term assumptions, particularly the terminal value. This is typical for high quality companies with long expected growth runways, but it also means the final valuation should be interpreted as a range rather than a single precise number.

A second sensitivity analysis tests the impact of changes in revenue and operating expenses. This analysis shows that ASML's valuation is also highly sensitive to operating performance. If revenue underperforms and operating expenses increase, the valuation falls significantly. If

revenue outperforms and operating expenses are lower, the valuation can rise materially above the base case.

This is important because ASML has high operating leverage. Small changes in revenue growth or margin assumptions can have a large impact on EBIT, FCFF, terminal value, and ultimately the estimated share price.

DCF Valuation Conclusion:

The FCFF DCF produces an estimated value of approximately €724.29 per share. This is below the current market price, suggesting that the market is pricing ASML above the value implied by the base-case cash flow assumptions.

This does not mean ASML is a weak company. The model still assumes strong revenue growth, margin expansion, high profitability, and continued leadership in advanced lithography. Rather, the result suggests that the current market price may already reflect a significant premium for ASML's strategic position, AI-related semiconductor demand, EUV and High-NA EUV adoption, and its near-monopoly position in advanced lithography.

Overall, the DCF supports the conclusion that ASML is a high quality business, but that the shares appear richly valued under the base case assumptions.

Valuation Methodology and Rationale

To determine ASML's final valuation, this analysis relies exclusively on a fair valuation approach using a Free Cash Flow to the Firm (FCFF) DCF model. While trading multiples are commonly used in corporate valuation, they operate on the assumption of market comparability. ASML, however, occupies a unique, structural monopoly position as the world's sole supplier of extreme ultraviolet (EUV) lithography systems. Peer companies within the semiconductor capital equipment sector (such as AMAT, LRCX, or TEL) while systemically important face different competitive dynamics and do not possess a comparable technology monopoly. Consequently, incorporating trading multiples would introduce significant benchmarking distortion and fail to isolate ASML's characteristic economic moat. The FCFF DCF approach resolves this limitation by valuing ASML strictly on its standalone capacity to generate long-term cash flows, discounted at a cost of capital (WACC of 8.55%) that reflects its specific risk profile.

Final Valuation Conclusion

Based on the valuation analysis, ASML's estimated fair value is €724.29 per share, derived entirely from the FCFF DCF model. This method isolates the company's projected long-term cash flow generation under strict driver-based operating assumptions, filtering out external market sentiment and peer multiples that do not reflect ASML's unique monopoly status.

Compared with the current market price of €1,249.80 per share, the valuation implies approximately 42.05% downside to the DCF-derived fair value. Equivalently, the market price reflects a 72.56% premium to fair value.

However, this conclusion should be interpreted carefully. ASML remains one of the most strategically important companies in the semiconductor supply chain due to its dominant position in EUV lithography, expected High-NA EUV adoption, exposure to AI-related semiconductor demand, and growing service revenue from its installed base. The company's market position may justify a valuation premium relative to peers, as investors are likely pricing in long-term growth, scarcity value, and ASML's near monopoly role in advanced lithography.

Regardless, the model suggests that much of this optimism is already reflected in the current share price. Even under an optimistic base case, where 2030 revenue slightly exceeds management's high-end outlook, the DCF valuation remains below the market price. As a result, ASML appears to offer limited margin of safety at the current valuation level, despite its strong fundamentals and long-term growth prospects.

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